

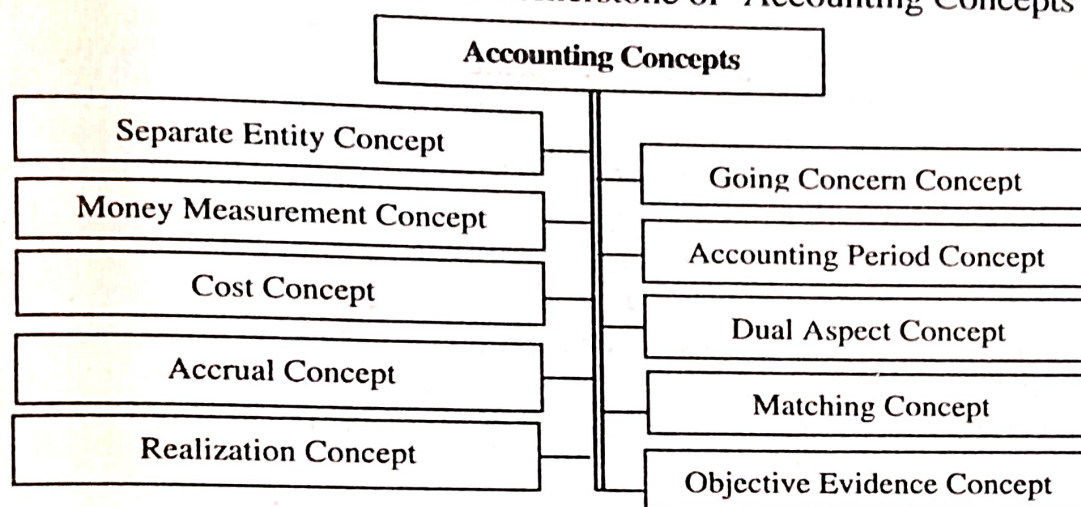
1.4. ACCOUNTING CONCEPTS

The word '**Concept**' may be defined as "a general idea or understanding of thought". It is an idea of what thought is or how it works. "**Accounting concepts**" are the necessary assumptions, conditions or postulates upon which the accounting is based. They are developed to facilitate communication of the accounting and financial information to all the readers of Financial Statements, so that all readers can interpret the statements with the same meaning and context. Following are the accounting concepts, which have been broadly accepted by accountants:

1.4.1. Separate Entity Concept

There is a presumption under 'Separate Entity Concept' that as far as accounting is concerned the 'owners of a business organisation' and the 'business organisation itself' are two independent and separate entities. The business transactions undertaken by the owner are altogether separate from the personal transactions

undertaken by him. **For example**, the capital invested by the owner in a business is recorded as a liability for the business. Similarly, if any asset (including cash or goods) belonging to the business is taken by the owner for his personal use, it is not considered as business expenditure, instead it is treated as '**withdrawal**' or '**drawing**' by the owner. This is the cornerstone of 'Accounting Concepts'.



1.4.2. Going Concern Concept

Going concern is one of the fundamental assumptions in accounting on the basis of which financial statements are prepared. The assumption is that a business entity will continue to operate in the foreseeable future without the need or intention on the part of management to liquidate the entity and it will realise its assets and settle its obligations in the normal course of the business. In simple words, it means that every business entity has continuity of life and it will not be dissolved in the near future.

The assumption of going concern is the basis of all the financial transactions of a business entity like entering into long-term contracts with other parties, obtaining loans from banks/financial institutions, extending loans, investing in long-term securities, purchasing bonds/debentures, etc. This concept also enables a business entity to defer some of their costs like prepaid expenditure, closing stocks, etc. which are required to be charged against future incomes.

Even the depreciation on fixed assets is charged on the assumption of continuation of the business. Fixed assets are shown in the balance sheet at acquisition cost less depreciation charged. They are not shown at their market value, due to the going concern concept. In the absence of this concept, it would not have been possible to classify assets into 'Fixed Assets' and 'Current Assets'. The income measurement techniques can be justified only on the basis of assumption of 'Going Concern Concept'.

1.4.3. Money Measurement Concept

In accounting, every transaction is recorded in terms of money, i.e. rupees and paise in India. Receipt of income, payment of expenses, purchase and sale of assets, etc., are monetary transactions and therefore are recorded in the books of accounts. The assumption under money measurement concept enables to have a common measure, in terms of money, for all the transactions, assets and liabilities, which facilitate the preparation of financial statements.

This concept would be better understood with the help of a few **examples**. A company, on a particular day, makes some purchases, viz. 10 office chairs, 5 meters of curtain cloth and 20 rims of A-4 paper, all of which have different measuring units. However, as all the transactions can be measured in terms of money, they can be easily recorded in the books of accounts.

On the other hand, an event of a machinery breakdown in a manufacturing unit cannot be recorded in the books of accounts as it does not have a monetary value. However, the expenditure incurred for the repair of the machinery can be measured in monetary terms and hence can be recorded. Similarly, the quality of service, health of the owner or the morale of work force of a company cannot be measured in terms of money and therefore cannot be recorded in the books of accounts.

1.4.4. Accounting Period Concept

An accounting period is the interval of time at the end of which the financial statements are prepared to ascertain the financial performance of a company. This is known as accounting period concept. Although the "going concern" concept emphasises the continuing nature of an organisation, it is necessary to review its performance. The preparation of financial statements (balance sheet and profit & loss account) at periodic intervals (known as accounting period) helps in taking timely corrective action and developing appropriate strategies. The accounting period is generally of twelve months (which may be a calendar year or a financial year), although it may be for three months or six months as well in case of new startup. Preparation of financial statements also serves some other purposes like calculation of profit, tax calculation, submission of reports to regulators and other Government agencies, etc.

1.4.5. Cost Concept

As per this concept, cost of an asset is recorded in the books of accounts at the price paid to acquire it (including overheads like transportation and installation charges, if any) and not at the market price. Fixed assets, e.g. land, building, plants, machinery, furniture, fixtures, etc. are taken in the record at the price paid for acquiring them, which is also termed as 'Historical Cost'. However, the cost of assets recorded at the time of purchase may be systematically reduced through depreciation. The significance of cost concept is that the records kept on the basis of it are considered as consistent, comparable, verifiable and reliable.

This concept may be better described through an **example**. If a piece of land is purchased to set-up a factory for ₹50,000 in the books of accounts this would be recorded at ₹50,000 only. After sometime there may be an increase in the market value of the land, but in the books of account, the cost would continue to be shown at ₹50,000 only. Further, at the end of the financial year the land would be subject to depreciation and the reduced cost would be taken over as the opening balance for the next financial year. This will be repeated year after year and the cost would be shown at a lower level despite appreciation in the market price of the land.

1.4.6. Dual Aspect Concept

This is the fundamental concept of accounting. This concept follows from the Entity Concept. All entities own certain assets. Such assets are acquired through contributions of those who have provided the funds for the purpose. Funds are made available either through the surplus of the entity or loans. Logically such providers of funds are claimants to the assets. At any point of time, the assets will be equal to the claims. It may thus be concluded that each and every transaction, a business entity enters into, has a dual effect. With every increase in the money owed to others, there has to be an equal increase in assets or loss.

This concept supports the accounting equation, i.e.,
$$\text{Assets} = \text{Owner's Funds (Capital and Reserves)} + \text{Liabilities Or Owner's Funds}$$
$$= \text{Asset} - \text{Liabilities}$$

This concept may be understood in a better way by an **example**. A business is started by Mr. 'X' with an investment of ₹2,50,000. This transaction has two aspects, viz. 'Capital Account' and 'Asset Account'. While the amount lying in 'Capital Account' (₹2,50,000) is a liability for the business (which it owes to Mr. 'X'), whereas the amount lying in 'Asset Account' (₹2,50,000) is an asset for the business.

1.4.7. Accrual Concept

Under the cash system of accounting, the incomes and expenditures are recorded only if there is actual receipt or payment in cash, irrespective of the accounting period to which they belong. But, under the accrual concept, occurrence of claims and obligations in respect of incomes or expenditures, assets or liabilities, diminution in values, etc., are recorded even though actual receipts or payments of money may not have taken place. This concept depicts that incomes and expenses need to be recognised as and when they are earned and incurred respectively, notwithstanding the fact whether the money is actually received or paid in this regard.

This concept may be understood in a better way by an **example**. If a company dealing in medicines gets supply of medicine worth ₹20,000 on March 29, 2014 (during the year 2013-14) and the payment is made on April 2, 2014 (during the year 2014-15), under the accrual system, the expenditure though incurred during 2014-15 needs to be recognised for the year 2013-14 (the year during which the supply was made).

1.4.8. Matching Concept

The matching concept is an outcome drawn from the accrual concept. It emphasises that the revenue earned and the expenditure incurred must belong to the same accounting period. To ascertain the surplus or deficit made by a business entity during an accounting period, it is necessary that the costs incurred are matched with the revenue earned by the entity during that accounting period. Therefore, once the revenue is realised or expenditure incurred, they need to be allocated to the relevant accounting period.

The matching concept is different under 'Cash System' and 'Accrual System' of accounting:

- 1) In 'Cash System' of accounting only actual receipts and payments are recognised for any accounting year. Revenues are recognised when realised in cash and expenditures are recognised when actually paid in cash. The period during which the goods were supplied or services were rendered does not matter. The cheque received or issued is as good as the cash realised or cash paid.
- 2) In 'Accrual System' of accounting, revenues are recognised for the accounting period during which the sale is made or service are rendered irrespective of the fact whether realised in cash or not. Similarly, expenditures are recognised for the accounting period during which they are incurred (on due basis), whether paid in cash or not. This process of recognising and relating expenses with revenues is called **matching concept**.

1.4.9. Realisation Concept

According to this concept, revenue needs to be accounted for only when it is actually realised or it has become certain that the revenue will be realised. However, in order to recognise revenue, actual receipt of cash is not necessary. What is important is that the organisation should be legally entitled to receive the amount for the service rendered or the goods sold. Revenue is said to have been realised when cash has been received or right to receive cash on the sale of goods or services or both has been created. It means that selling of goods is realisation, whereas receiving order is not.

This concept may be understood in a better way by an **example**:

- 1) A telecommunication company sells talk-time through scratch cards. Revenue is recognised when the scratch card is sold, but it is recognised when the subscriber makes a call and consumes the talk-time.
- 2) A monthly magazine receives 1,000 subscriptions of ₹240 to be paid at the beginning of the year. Each month it recognises revenue worth ₹20,000 [$(₹240 \div 12) \times 1,000$].

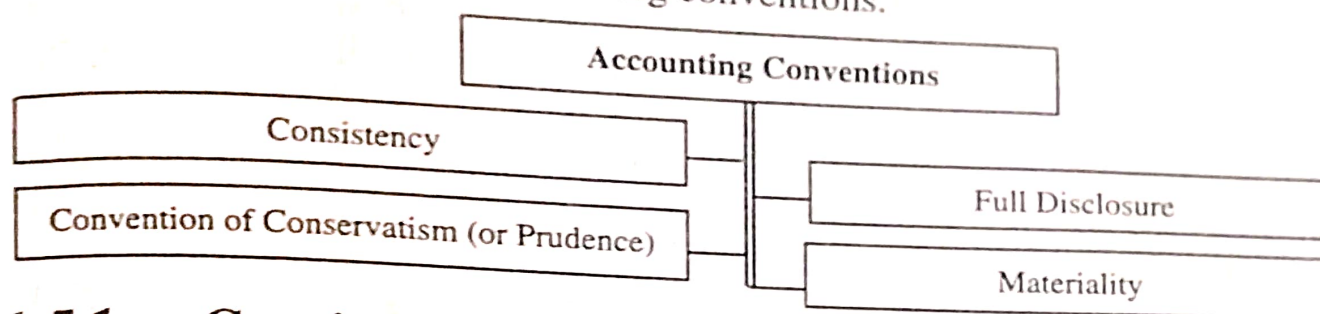
1.4.10. Objective Evidence Concept

This concept tells that all business related transaction should be shown by the help of invoices, receipts, cash memos, etc. These documents act as the evidence of the business transaction. These documents are helpful for recording and posting the business transactions in the accounts book and also help the auditor in investing and checking. The items such as depreciation and provision doubtful debt does not have any supporting document so the rules and guidelines prepared by management acts as supporting document or evidence.

1.5. ACCOUNTING CONVENTIONS

'Accounting Conventions' are the guidelines that arise from the practical application of accounting principles. They are not a legally binding practice rather they are generally accepted practices based on customs, and are designed to help accountants to overcome practical problems faced by them during the preparation of financial statements.

As customs change, so will accounting conventions.



1.5.1. Consistency

The convention of consistency emphasises that the accounting principles/practices followed by an entity should be consistently applied by it over the years so as to achieve compatibility. It facilitates comparison of financial performance of an entity from one accounting period to another.

This convention may be understood in a better way by an **example**:

- 1) There are a number of methods for the valuation of inventories, viz. 'First In First Out' (FIFO), 'Last In First Out' (LIFO), or 'Weighted Average Method'. If an organisation has adopted one method of valuation say 'Weighted Average Method' during one accounting year, the same method needs to be followed during the subsequent accounting years. Any change in the method of inventory valuation would distort the financial results in a substantial manner. In case a change is made, it should be disclosed.
- 2) Similarly, the method of providing depreciation, provision for bad and doubtful debts, change from 'Cash Basis' to 'Accrual Basis' are some of the examples where there are a number of options available to the business entities. But once a method is adopted, the same method should be continued in the forthcoming financial years, so as to maintain consistency. Any change, if at all necessitated, needs to be disclosed properly, as it would result in a difficulty for the stakeholders to compare the financial performances.

1.5.2. Full Disclosure

The term "disclosure" implies that there must be a sufficient exposure of information which is of material interest to all the stakeholders, viz. owners, creditors, lenders, investors, public, etc. The accounts and the financial statements of an entity should disclose full and fair information to the beneficiaries in order to enable them to form a correct opinion on the performance of such entity, which in turn would allow them to take informed and correct decisions.

For example, the Accounting Principles that have been followed for preparation of the Financial Statements should be disclosed along with the Financial Statements for proper understanding and interpretation of the same. Further, any other information relevant to the users of the financial statements should also be disclosed. Such information may pertain to the period covered by the financial statement or may even those pertain to the period subsequent to the finalisation of the balance sheet.

This convention may be understood in a better way by an **example**:

- 1) If a business organisation has raised substantial amount of bank finance immediately after the balance sheet date but before the finalisation of balance sheet, it needs to be disclosed appropriately in the financial statements. **For example**, if the balance sheet data is 31st March, 2014, the business has availed finance on 25th April, 2014, then the amount of finance will be disclosed to the period subsequent i.e., 31st March, 2015.
- 2) The figures of the sundry debtors should necessarily be accompanied by the figure of Bad and Doubtful Debts (BDDs) and the provisions made against such BDDs.

1.5.3. Convention of Conservatism (or Prudence)

This convention means a cautious approach or policy of having a conservative approach. According to this convention, the anticipated profits need to be ignored but all anticipated losses need to be provided for in the books of accounts of an entity. In other words, all the prospective losses are taken into consideration, while no doubtful income is taken into consideration in recording of transactions by an entity.

This convention also states that the financial statement should be made on verifiable evidence.

There are numerous examples of the 'Convention of Conservatism', which are adopted and practiced by many of the business organisations. Some of them are stated in the following points:

- 1) Providing for the Bad and Doubtful Debts (BDD) in the anticipation of debtors' inability to pay their debts.
- 2) Providing for 'Discount' on debtors.
- 3) Valuation of the 'Stock-in-hand' at the 'Market Price' or 'Cost Price' whichever is lower.
- 4) Creation of 'Investment Fluctuation Reserve'.
- 5) 'Capital Expenditures' of small amount (like crockery purchase) are charged as 'Revenue Expenditure'.
- 6) Intangible assets, e.g. 'Goodwill', 'Copyrights', 'Trademarks', 'Preliminary Expenses', etc., are subjected to amortisation as early as possible.
- 7) Preference is given to application of 'Written-Down-Value' (WDV) method of depreciation (a conservative method) over the 'Straight-Line Method' (SLM).
- 8) 'Joint Life Policy' is shown at 'Surrender Value' in the balance sheet of a company.
- 9) While arriving at the profit of a 'General Insurance Company', "the claims intimated but not accepted" are taken into consideration as a loss.
- 10) Discount from creditors are never taken into consideration.
- 11) Providing for the loss on issue of debentures, when they are issued at par and are redeemable at premium.

1.5.4. Materiality

The term material refers to the relative importance of an item or event. An item should be regarded as material, if there is a sufficient reason to believe that knowledge of it would influence the decision of informed creditors, lenders, investors, public and other stakeholders. The accounts and the financial statements should impart importance of all material information so that true and fair view of the state of affairs of the entity is given to its beneficiaries. Hence, keeping the convention of materiality in view, unimportant items are not disclosed separately and are merged with other items.

The concept of materiality is relative. What is material for a small company may not be material for a large company. The cost of small tools may be material for a small vehicle repair workshop, but the same may not be material for large manufacturers of vehicles. Similarly, the nature of a transaction is also important in deciding the 'Materiality'. A difference of ₹1,000 in cash would be considered 'Material', whereas the difference of the same amount (₹1,000) otherwise would be considered 'Immaterial'.